Lumentum Holdings Inc. (LITE)

A Supercycle Business Priced Beyond the Bull Case

ANALYST: JUSTIN WEN | OCTOBER 20, 2026

> Lumentum is compounding at a rate few hardware franchises ever reach, with fiscal 2026 revenue up 83.2% to $3,014.0M, fourth quarter revenue up 109.3%, and GAAP gross margin exiting the year at 47.4% as AI data center demand pulled its indium phosphide lasers into the center of the build-out. The market has capitalized that trajectory in full and then some, pricing the shares above even our bull case and embedding a five-year revenue CAGR beyond what the bull case assumes. We see an exceptional business carrying a price with no margin of safety. Our blended target of $413.36 implies a 50.0% downside from the current $827.08 price, and that gap between franchise quality and entry price is what drives our Hold with Valuation Concerns stance.

HOLD	$413.36	-50.0%	$827.08
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market prices Lumentum as if the current hyper-growth were a permanent state, while the analyst consensus sits even higher with a mean target near $1,179. Our read is the cautious one. The business is exceptional and the balance sheet is clean, yet the price already embeds more growth than our bull case delivers, and that gap, not any operational failure, is what the rating reflects.

EXECUTIVE SUMMARY

Lumentum reports as a single segment after reorganizing in the first quarter of fiscal 2026, and it discloses revenue by product type rather than by segment. Components, built around indium phosphide laser chips such as EMLs and VCSELs together with pump lasers and narrow linewidth assemblies, produced $2,005.6M in fiscal 2026, or 66.5% of revenue. Systems, covering cloud transceiver modules, optical circuit switches, and co-packaged optics engines, produced $1,008.4M, or 33.5%. Commercial lasers and 3D sensing sit inside those product lines as smaller contributors. The prior segment structure, Cloud & Networking at 85.8% of fiscal 2025 revenue and Industrial Tech at 14.2%, shows how completely the AI data center cycle now dominates the mix.

The operating record behind the share price is genuinely extraordinary. Fiscal 2026 revenue reached $3,014.0M, up 83.2%, and the fourth quarter alone delivered $1,006.3M, up 109.3% year on year and 24.5% sequentially. GAAP gross margin expanded from 28.0% in fiscal 2025 to 41.7% in fiscal 2026 and reached 47.4% in the fourth quarter, while GAAP operating margin swung from a 10.9% loss to a 17.4% profit and exited the year at 27.8%. Every fiscal

2026 quarter met or beat the guidance management had set for it, and the first quarter fiscal 2027 guide of $1,225M to $1,275M of revenue implies the run-rate keeps climbing. Nothing in the recent print record supports a story of operational disappointment.

Our disagreement is with the price, and it is total. The detailed EBIT bridge produces a base target of $352.13, a bull target of $794.71, and a blended target of $413.36 against a reference price of $827.08, so even the bull case sits below the market. The reverse DCF makes the same point from the other direction, with the price embedding a 56.2% five-year revenue CAGR at the base-case mature free cash flow margin of 25.5%, above the 42.1% blended CAGR of the bull case itself. The balance sheet offers no offsetting concern, holding $2,738.4M of cash and short-term investments against $1,637.4M of borrowings for net cash of $1,101.0M, and NVIDIA validated the franchise strategically with a $2.0B convertible preferred investment in March 2026. We rate the shares Hold with Valuation Concerns because the business is healthy and compounding while the entry price capitalizes a trajectory beyond what our most optimistic scenario underwrites.

OPERATIONAL SNAPSHOT

$827.08	$3.01B	$0.30B	10.0%	1.36	$827.08
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FY2026 FCF MARGIN	EQUITY BETA (BLUME)	REF. CLOSE

Fiscal 2026 figures are from the Form 10-K filed August 17, 2026. Free cash flow is operating cash flow of $751.4M less capital expenditures of $451.3M. Ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DURABLE

The moat begins with the indium phosphide laser itself. Lumentum designs and fabricates the EML and VCSEL chips that sit at the heart of 800G and 1.6T optical links, and it owns the fabs that make them. Indium phosphide fabrication has long lead times, yields are hard won, and capacity cannot be bought off the shelf, which is why the current industry bottleneck runs through a small number of qualified laser suppliers and why Lumentum can commit to $2.4B of purchase obligations against visible demand.

Qualification creates the second layer. Cloud customers qualify optical components over cycles the initiation framework measures at 12 to 18 months, and a designed-in laser rides the platform for its full production life. Switching suppliers mid-platform means requalification risk on a live AI cluster, so incumbency compounds with every generation, from 800G into 1.6T and from pluggable modules into co-packaged optics, where Lumentum already holds an initial order for external laser source modules and a broadening set of near-package optics engagements.

Vertical integration is the third layer. The same laser franchise feeds cloud transceiver systems, optical circuit switches with a disclosed backlog above $400M, and pump and narrow linewidth products that serve both data center interconnect and telecom networks. That breadth matters because it lets Lumentum monetize each step of the optical stack as architectures shift, rather than depending on a single form factor surviving the transition.

VALUATION

Three scenarios make the valuation range explicit

Each scenario starts from a fiscal 2027 revenue anchor drawn from the analyst consensus range, with the bear case at the low estimate of $5,614M, the base case at the average of $6,337M, and the bull case at the high estimate of $7,155M. Revenue then compounds at 5% in the bear case, 15% in the base case, and 25% in the bull case through fiscal 2031, which produces blended five-year CAGRs of 17.8%, 29.7%, and 42.1% measured from fiscal 2026 revenue of $3,014.0M. EBIT margin paths are grounded in the reported trajectory, running from 22.0% to 24.0% in the bear case, from 27.0% to 32.0% in the base case, and from 29.0% to 36.0% in the bull case, against a fourth quarter fiscal 2026 exit rate of 27.8%. The bridge then produces mature free cash flow margins of 21.0%, 25.5%, and 27.4% by fiscal 2031, above the mature peer benchmarks of roughly 14% at Coherent and 10% at Fabrinet because the bridge credits Lumentum with premium laser mix and the operating leverage already visible in its reported results.

SCENARIO	WEIGHT	REVENUE CAGR (5-YR BLENDED)	FCF MARGIN (FY2031)	TARGET	UPSIDE
Bear	25%	17.8%	21.0%	$154.45	-81.3%
Base	50%	29.7%	25.5%	$352.13	-57.4%
Bull	25%	42.1%	27.4%	$794.71	-3.9%

Bear $154.45

The bear outcome materializes if hyperscaler digestion returns after the fiscal 2027 step-up, repeating the fiscal 2024 pattern in which revenue fell 23.1%. Growth fades to 5% off a low-end anchor, EBIT margin stalls in the low 20s as fab absorption reverses, and a 11.0% WACC with 2.0% terminal growth compresses the terminal value.

Base $352.13

The base path underwrites the consensus average for fiscal 2027 and then normalizes growth to 15%, treating the street fiscal 2028 figure as a bull-leaning outcome. EBIT margin expands from 27.0% to 32.0% on datacom mix, capex glides from 16% toward 10% of revenue, and the bridge reaches a 25.5% free cash flow margin by fiscal 2031 at a 10.0% WACC.

Bull $794.71

The bull case requires the high-end fiscal 2027 anchor, 25% compound growth as 1.6T, optical circuit switches, and co-packaged optics layer in together, and EBIT margin reaching 36.0% at premium mix. Even on those terms, at a 9.0% WACC and 4.0% terminal growth, the computed target of $794.71 remains below the current price.

VALUATION FRAMEWORK

Scenario discount rates, checked against the market

Scenario WACCs are set at 11.0% in the bear case, 10.0% in the base case, and 9.0% in the bull case, with Gordon terminal growth of 2.0%, 3.0%, and 4.0%. The

equity beta input is normalized rather than taken raw, with the live beta of 1.54 adjusted through the Blume formula to 1.36 and decaying toward a mature optics peer level near 1.2 by the terminal year. We flag one tension openly. A mechanical CAPM at the prevailing 10-year Treasury yield near 5.1% and the market-implied equity risk premium argues for a discount rate roughly a point above the base case WACC, and applying it would lower every target in this report. The scenario rates stand as designed, and the flag stands with them.

The EBIT bridge produces the margin, nothing is imposed

Free cash flow margin is an output of the bridge, never an input. Revenue meets an EBIT margin path grounded in the reported record, cash taxes come out at a normalized 12% rate that reflects NOL and credit carryforwards burning off, depreciation and amortization are added back at 7.0% to 8.0% of revenue depending on scenario, capital expenditures follow explicit yearly schedules that start at the fiscal 2026 intensity of 15.0% of revenue and glide down as the fab build matures, and working capital is charged at 1.5% of the revenue change. The base case therefore earns its 25.5% fiscal 2031 free cash flow margin from a 32.0% EBIT margin rather than assuming it, and the same discipline produces 21.0% in the bear case and 27.4% in the bull case. Stock-based compensation is not added back anywhere in the bridge.

Mechanics are explicit

Revenue becomes EBIT through the margin path, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount at the scenario WACC, add the Gordon terminal value, bridge from enterprise value to equity value with balance sheet debt and cash, and divide by 95.1M diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Revenue base year	**2026**
Forecast horizon	**5 years**
Base WACC	**10.00% (2026-10-20)**
Terminal growth	**3.0%**
Equity beta	**1.36**
Diluted shares	**95.1 million**

HOLD

over $413.36 blended target

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on AI data-center optics, with telecom recovery underneath

HOLD

The demand stack starts with cloud transceivers and laser components for 800G links, where Lumentum ships both merchant modules and the EML and VCSEL chips inside them, and it extends into 1.6T, where management reports

adoption advancing in the cloud module business. Two further engines layer in behind it. Optical circuit switches carry a disclosed backlog above $400M and address AI cluster fabric directly, while co-packaged optics holds an incremental multi-hundred-million-dollar order deliverable in the first half of calendar 2027, together with an initial external laser source module order and widening near-package optics engagements. Telecom and data center interconnect demand, including the pump lasers and narrow linewidth assemblies management calls scale-across components, supplies the supporting base as carrier digestion completes. The KPIs that matter most are datacom bookings and design wins, because they lead the revenue line by the length of the qualification cycle.

What to monitor

- **Datacom bookings and design wins** The leading indicator for fiscal 2028 revenue, visible first in backlog commentary and customer concentration disclosures.
- **OCS backlog conversion** The disclosed backlog above $400M must convert to recognized revenue on schedule for the systems mix story to hold.
- **CPO delivery start** The multi-hundred-million-dollar co-packaged optics order begins delivering in the first half of calendar 2027 and tests execution at a new form factor.
- **Gross margin durability** GAAP gross margin reached 47.4% in the fourth quarter of fiscal 2026, and holding the high 40s through the capacity build is the single most important margin proof point.
- **Convert equitization pace** Early conversion requests covering $757.8M of principal arrived after fiscal year end, with principal settled in cash, and the pace sets the true diluted share count.

47.4%	25.5%	>$400M	95.1M	$451.3M	29.7%
Q4 GAAP GROSS MARGIN	BASE FCF MARGIN (FY2031)	OCS BACKLOG	DILUTED SHARES	FY2026 CAPEX	REVENUE CAGR (BASE, 5-YR)

METRIC	FY2026
Revenue	$3,014.0M
Gross Profit	$1,255.9M
EBIT	$524.8M
Net Income (GAAP)	-$6,935.1M
Free Cash Flow	$300.1M
Operating Cash Flow	$751.4M
Net Cash	$1,101.0M

GAAP net income reflects a one-time non-cash loss on extinguishment of convertible debt of $7,756.6M as the notes equitized during fiscal 2026. Non-GAAP net income was $782.3M, or $8.67 per diluted share.

RISK & MOAT MATRIX

The bear case

HYPERSCALER DIGESTION

Revenue fell 23.1% in fiscal 2024 when cloud and carrier customers digested inventory, and GAAP operating margin reached a 31.9% loss. A repeat pause meets a larger fixed cost base and $2.4B of purchase commitments.

EMBEDDED EXPECTATIONS

The price embeds a 56.2% five-year revenue CAGR at a 25.5% free cash flow margin, above the bull case on the same basis. Any trajectory short of flawless compounding de-rates the shares toward the scenario range.

CUSTOMER CONCENTRATION

Growth rests on a small set of AI infrastructure buyers whose capex plans reset quarterly. Losing a socket at one hyperscaler removes revenue faster than the cost base can adjust.

CAPACITY INTENSITY

Lumentum owns its indium phosphide fabs, and fiscal 2026 capex ran at 15.0% of revenue. Sustained mid-teens capex beyond the modeled glide path would hold free cash flow conversion below the bridge.

CONVERT OVERHANG

All convertible series are classified current after the conversion trigger was met, and common shares outstanding rose from 71.4M in January 2026 to 89.7M by August. Continued equitization grows the share count the market capitalizes.

COMPETITION

Coherent competes at greater scale, merchant rivals press on price, and hyperscaler in-house silicon photonics programs remain a slow-moving threat to merchant optics content per cluster.

The strengths

INP PLATFORM

Owned indium phosphide fabrication for EML and VCSEL lasers, with lead times and yield learning that new entrants cannot replicate quickly.

QUALIFICATION LOCK-IN

Twelve to eighteen month qualification cycles and platform design-ins make incumbent laser sockets durable across transceiver generations.

BALANCE SHEET

Net cash of $1,101.0M and a $2.0B strategic preferred investment from NVIDIA fund the capacity build without dependence on capital markets.

MULTI-ENGINE PIPELINE

Cloud transceivers today, optical circuit switches and co-packaged optics layering in next, with telecom recovery underneath as digestion completes.

Superb business, full price

Our analysis concludes that Lumentum is executing at a level few hardware franchises ever reach, with four consecutive quarters of accelerating growth, record margins, and guidance delivered or beaten throughout fiscal 2026. The investment debate is not about the business. It is about a price of $827.08 that sits above even our bull target of $794.71 and embeds more growth than the bull case assumes, which leads us to Hold with Valuation Concerns at a blended target of $413.36, a 50.0% downside from the reference price. Investors should monitor hyperscaler capex commentary, the conversion of the optical circuit switch backlog, and the first co-packaged optics deliveries, because delivery against all three is what the current price already assumes.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

The indium phosphide laser franchise carries the equity story

The laser franchise is where Lumentum makes its money and defends its position. EMLs carry the high-speed coherent and datacom links, VCSELs serve shorter reaches, and pump lasers and narrow linewidth assemblies feed amplifiers and interconnect products across both cloud and telecom networks. Fiscal 2026 showed the franchise at full power, with Components revenue up 79.7% to $2,005.6M and fourth quarter gross margin reaching 47.4% at the group level as premium laser mix rose. The same chips increasingly ship inside Lumentum systems, which is how the company captures value twice on a single design win, once in the component and again in the module or switch.

The forward question is whether the franchise extends into the next architecture before the current one peaks. The evidence so far is constructive. The 1.6T generation is advancing inside the cloud module business, ultra-high-power lasers for co-packaged optics are drawing demand, the first external laser source module order has landed, and near-package optics engagements are broadening. Each step moves optical content closer to the switch and the GPU package, which raises the value of the laser socket Lumentum already owns.

Why the debate sits in the valuation, not the operations

- The reference price of $827.08 sits above the bull target of $794.71, leaving no scenario in the model with upside.
- The reverse DCF shows the market embedding a 56.2% five-year revenue CAGR against a bull case blended CAGR of 42.1%.
- Share count has grown through convert equitization, from 71.4M common shares in January 2026 to 89.7M by August 2026, before preferred conversion and equity awards.
- The fiscal 2024 digestion, when revenue fell 23.1%, is the documented template for how quickly optics demand can reverse.

Our read: The franchise is compounding at an exceptional rate and the moat around the laser socket is real, however the current price pays today for a trajectory beyond the bull case. Discipline argues for holding existing positions and waiting for either delivery that lifts the scenario range or a price that restores a margin of safety.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.